Concept 1 - Initial Public Offer and Eligibility of Issuer

Initial Public Offering (IPO): An Initial Public Offering (IPO) is the first sale of shares by a company to the public. It allows a company to raise capital from public investors.
Regulations related to Initial Public offer are mentioned under - Securities Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations, 2018

Eligibility of the Issuer:

Conditions Set 1 - Entities not eligible to make an initial public offer.
An issuer shall not be eligible to make an initial public offer:

a) if the issuer, promoters, promoter group, directors or selling shareholders or of any other company debarred by SEBI from accessing the capital market.
b) If the issuer or any of its promoters or directors, is a wilful defaulter or fraudulent borrower.
c) If there are any outstanding convertible securities or any other right which would entitle any person with any option to receive equity shares of the issuer, unless they are converted before initial public offer.

Conditions Set 2 – General Conditions
An issuer making an initial public offer shall ensure that:

a) It has made an application to one or more recognised stock exchanges to seek an in-principle approval for listing.
b) It has entered into an agreement with a depository for dematerialisation of the securities already issued and proposed to be issued.
c) All the securities held by the promoters are also dematerialised.
d) All its existing partly paid up equity shares have either been fully paid up or forfeited.
e) It has made firm arrangements of finance through verifiable means towards 75% of the state means finance for a specific project proposed to be funded from the issue proceeds, excluding the amount to be raised through the proposed public issue or through existing internal accruals.

The amount for general corporate purposes, as mentioned in the objects of the issue in the offer document shall not exceed 25% of the amount being raised by the issuer.

Conditions Set 3 – Monetary Conditions
An issuer shall be eligible to make an initial public offer only if:

a) It had net tangible assets of at least ₹ 3 crores in each of the preceding 3 full years, of which not more than 50% are held in monetary assets, if not, such excess is to be utilised in its business or project.
b) It has an average operating profit of at least ₹ 15 crores during the preceding 3 years, with operating profit in each of these preceding 3 years.
c) It has net worth of at least ₹ 1 crore in each of the preceding 3 full years.

d) If it has change its name within the last 1 year, at least 50 % of the revenue for the preceding 1 full year has been earned by it from the activity indicated by its new name.

An issuer not satisfying the above monetary conditions shall be eligible to make an initial public offer only if the issue is made through the book-building process and the issuer undertakes to allot at least 75% of the net offer to qualified institutional buyers and to refund the full subscription money if it fails to do so.

Other regulations:

a) An issuer shall be eligible to make an initial public offer of convertible debt instruments even without making a prior public issue of its equity shares and listing, provided that it is not in default of payment of principal/ interest for a period of more than 6 months.
b) Issue Duration: An Initial Public offer shall be kept open for at least 3 working days and not more than 10 working days.
c) Minimum Subscription: The Minimum subscription to be received shall be at least 90% of the offer through offer document.
d) In the event of non-receipt of minimum subscription, all the application money shall be refunded to the applicants, but not later than ~~15 days~~ [4 days – amended under SEBI (ICDR) (Amendment) Regulations, 2022 w-e-f 14.01.2022] from the closure of issue.
e) The issuer shall not make an allotment to a public issue if the number of prospective allottees are less than 1000.
f) If the issue size exceeds ₹ 100 crores, a credit rating agency registered with the Board shall monitor the utilisation and the monitoring agency shall submit its report to the issuer on a quarterly basis till 100% of the proceeds of the issue have been utilised.
g) The issuer may obtain grading for its IPO from one or more Credit Rating Agencies registered with the Board.

Concept 2 – Minimum Promoter's Contribution and Lock-in Period

The Promoters of the issuer shall hold at least 20% of the post issue capital in an initial public offer.

Lock-in Period:

The Minimum Promoter's contribution shall be locked-in for a period of ~~3 years~~ [18 months – amended under SEBI (ICDR) (Third Amendment) Regulations, 2021 w-e-f 13.08.2021] from the date of allotment in the initial public offer.

The Promoter's holding in excess of the minimum promoter's contribution shall be locked in for a period of ~~1 year~~ [6 months – amended under SEBI (ICDR) (Third Amendment) Regulations, 2021 w-e-f 13.08.2021].

If the majority of the issue proceeds (excluding offer for sale portion) are used for capital expenditure, then:

- Minimum promoters' contribution → Lock-in increases to 3 years (instead of 18 months).
- Excess contribution → Lock-in increases to 1 year (instead of 6 months).

Concept 3 - Appointment of Merchant Banker and Other Intermediaries

a) Merchant Bankers: The issuer shall appoint one or more merchant bankers which are registered with the board as lead managers to the issue.
b) SEBI Registered Intermediaries: The issuer shall in consultation with the lead managers appoint other intermediaries which are registered with the board after accessing the capability of the intermediaries to carry out their obligations.
c) Syndicate Members & Bankers to issue: The issuer shall in case of an issue made through the book building process appoint syndicate members and in the case of any other issue appoint bankers to issue.
d) Registrar: The issuer shall appoint registrar to the issue registered with the board which has connectivity with all the depositories.
e) Compliance Officer: The issuer shall appoint a Compliance Officer who shall be responsible for monitoring the compliance of the securities law and redressal of investors grievances.

Concept 4 - Pricing of Shares in Public Issues

a) Price Determination: Price of equity shares and other convertible securities, the Coupon rate and conversion price shall be determined in consultation with the lead manager or through book building process.
b) Price Band and Floor Price: Issuer may mention a price band in the offer document and a floor price in the red herring prospectus.
c) The floor price or final price shall not be less than the face value of the securities.

Concept 5 - Differential Pricing

The issuer may offer its securities at different prices subject to the following:

a) Retail Individual Investors or Employees may be offered securities at a price not lower than by more than 10% of the price at which net offer is to be made to the other categories of applicants excluding anchor investors.
b) In case of book built issue, the price of the securities offered to the anchor investors shall not be lower than the price offered to other applicants.
c) In case the issuer opts for alternate method of book building, the issuer may offer securities to its employees at a price not lower than by more than 10% of the floor price.
d) Face Value Criteria: If the issue price is ₹ 500 or more per share, the face value may be less than ₹ 10 but not less than ₹1.

Concept 6 - Book Building Process

Book Building Process: is a process used to determine the price of an IPO based on the demand from institutional and retail investors. It is a systematic way of generating, capturing, and recording investor demand for shares. The price is not fixed initially. Instead, a price band or range is provided within

which investors can bid. The final price is determined based on the bids received during the book building period.

In an issue made through book building process, the allocation in the net offer category shall be as follows.

a) Not less than 35% to Retail individual investors.
b) Not less than 15% to non-institutional investors.
c) Not more than 50% to Qualified Institutional Buyers, 5% of which shall be allocated to mutual funds.

In an issue made through book building process, when the monetary conditions specified above are not satisfied, the allocation in the net offer category shall be as follows.

a) Not more than 10% to Retail individual investors.
b) Not more than 15% to non-institutional investors.
d) Not less than 75% to Qualified Institutional Buyers, 5% of which shall be allocated to mutual funds.

In an issue made through the book building process, the issuer may allocate up to 60% of the portion available for qualified institutional buyers to anchor investors in accordance with the conditions specified in the regulations.

In an issue made other than through the book building process, allocation in the net offer category shall be made as follows:

a) Minimum 50% to retail individual investors.
b) Remaining to:
   - individual applicants other than retail individual investors and
   - other investors including corporate bodies or institutions.

In all the above cases, the unsubscribed portion in either of the categories specified may be allocated to applicants in the other category.

Concept 7 - SEBI (Prohibition of Insider Trading) Regulations, 2015

Important Definitions

a) Compliance Officer: Senior officer responsible for regulatory compliance, maintaining records, monitoring unpublished price sensitive information (UPSI), and implementing codes.
b) Connected Person: A connected person means
   (i) Any person who is or has been during the past 6 months, associated with the company directly or indirectly, including,
   - By reason of frequent communication with company officers,
   - By being in any contractual, fiduciary, or employment relationship,
   - By being a director, officer, or employee,
   - Holding a business or professional position, temporary or permanent, giving access to unpublished price-sensitive information.

(ii) The following category shall be deemed to be connected persons:

- ~~Immediate relatives~~ [Relative – amended under SEBI (Prohibition of Insider Trading) (Third Amendment) Regulations, 2024 w-e-f 06.12.2024] of connected persons.
- A Holding company or associate company or subsidiary company.
- An Intermediaries under Section 12 of the Act.
- Directors or employees of stock exchanges, mutual funds, financial institutions, or banks associated with the company

c) Generally Available Information: Publicly accessible information on a non-discriminatory basis.

d) Insider: means any person who is a connected person or in possession of or having access to Unpublished Price Sensitive Information (UPSI).

e) "relative" shall mean the following:

(i) Spouse of the person
(ii) Parent of the person and parent of its spouse
(iii) Sibling of the person and sibling of its spouse
(iv) Child of the person and child of its spouse
(v) Spouse of the person listed in (iii)
(vi) Spouse of the person listed in (iv)

f) Unpublished Price Sensitive Information (UPSI): means any information, relating to a company or its securities, directly or indirectly, that is not generally available which upon becoming generally available, is likely to materially affect the price of the securities and shall include information relating to:

(i) financial results,
(ii) dividends,
(iii) changes in capital structure
(iv) mergers, de-mergers, acquisitions, delisting's, business expansions,
(v) changes in key managerial personnel, etc

Restrictions on Communication and Trading by Insiders

a) Insiders cannot share, procure, or allow access to UPSI unless it's for legitimate purposes. The board of directors must establish a policy defining "legitimate purposes" in the company's "Codes of Fair Disclosure and Conduct."
b) Insiders must be given a notice to maintain the confidentiality of UPSI as per the regulations.
c) UPSI may be shared or accessed in connection with a transaction that:
   i) requires an open offer, or
   ii) is deemed by the board to be in the best interest of the company, with the information made publicly available at least 2 trading days before the transaction.
d) The organization must maintain a structured digital database of UPSI with adequate controls, preserved for at least 8 years, or longer if an investigation occurs.
e) Insiders cannot trade securities listed or proposed for listing while in possession of UPSI.
f) Connected persons must prove they were not in possession of UPSI, while in other cases, the Board carries the burden.

Trading Plans

a) An insider shall be entitled to formulate a trading plan and present it to the compliance officer for approval and public disclosure pursuant to which trades may be carried out on his behalf in accordance with such plan.
b) The commencement of trading shall not occur earlier than ~~6 months~~ [120 Calendar days - amended under SEBI (Prohibition of Insider Trading) (Second Amendment) Regulations, 2024 w-e-f 24.09.2024] from the public disclosure of the plan, and no deviations from the plan shall be permitted.
c) Upon approval of the trading plan, the compliance officer shall notify the plan to the stock exchanges on which the securities are listed.

Disclosures of Trading by Insiders

Insiders, including their immediate relatives and those for whom they make trading decisions, must disclose any trading activities. The goal is to prevent the misuse of UPSI.

Disclosures by Certain Persons:

a) Initial Disclosures: Key managerial personnel or directors must disclose their holdings of securities in the company at the time of their appointment.
b) Continual Disclosures: If the traded value of securities exceeds ₹10 lakhs during any calendar quarter, insiders must disclose this within 2 trading days of such transaction.

Code of Fair Disclosure

The Board of Directors of every listed company is responsible for formulating and publishing a Code of Fair Disclosure for UPSI on its official website. The Code must contain the following principles,

a) Prompt public disclosure of UPSI that would impact price discovery as soon as reliable information is available to make such information generally available.
b) Disclosure of UPSI to avoid selective disclosure.
c) Designation of a senior officer as a chief investor relations officer to deal with Disclosure of UPSI.
d) Ensuring that information shared with analysts and research personnel is not UPSI.
e) Developing best practices to make records of proceedings of meetings with analysts and other investor relations conferences on the official website to ensure official confirmation and documentation of disclosures made.

Code of Conduct

a) Formulation and Monitoring:
   i) CEO to formulate a code for trading regulation by designated persons and their immediate relatives.
   ii) Compliance officer to monitor adherence.
b) Designated Persons: Specified based on role, function, and access to UPSI.
c) Trading Window: Re-opened at least 48 hours after UPSI becomes generally available.

d) Pre-Clearance:
   i) Required for trades above specified thresholds.
   ii) Compliance officer to seek declarations of non-possession of UPSI.
e) Execution and Reporting:
   i) Trades to be executed within 7 trading days of pre-clearance.
   ii) Sanctions and disciplinary actions for violations.
f) Disclosure Requirements: Annual disclosure of designated persons' names and identifiers.
g) Sensitive Transactions: Processes for bringing people 'inside' on sensitive transactions with awareness of duties and liabilities.

Concept 8 - Institutional Mechanism for Prevention of Insider Trading

The following steps need to be taken by the Management of a Listed Company to prevent insider trading which can also be referred as Institutional Mechanism to counter Insider trading:

a) The Chief Executive Officer shall put in place adequate and effective system of internal control for compliance.
b) The Audit Committee shall review compliance with the provision of these regulations at least once in a financial year and shall verify that the systems for internal control are adequate and are operating effectively.
c) Every listed company shall formulate policies and procedures for inquiry in case of leak or suspected leak of unpublished price sensitive information which shall be approved by the Board of directors and accordingly initiate appropriate inquiries in time and inform the Board promptly of the status.
d) The listed Company shall formulate whistle- blower policy and make employees aware of such policy to enable employees to report instances of leak of unpublished price sensitive information.

If an inquiry has been initiated by a listed Company in case of leak of unpublished price sensitive information or suspected leak of unpublished price sensitive information, the relevant intermediaries and fiduciaries shall co-operate with the listed company in connection with such an inquiry

Concept 9 – SEBI (Substantial Acquisitions of Share and Takeover) Regulations, 2011

a) Takeover: When an acquirer gains control of the target company.
b) Substantial Acquisition: Acquisition of a significant quantity of shares or voting rights.
c) Acquirer: A person or entity acquiring shares or control over a target company.
d) Control: The right to appoint a majority of directors or influence management or policy decisions.
e) Tendering Period: A 10 working day period during which shares can be tendered.
f) Offer Price: Price at which shares are offered to be acquired, subject to revision.
g) Identified Date: the date falling on the 10th working day prior to the commencement of the tendering period, for the purposes of determining the shareholders to whom the letter of offer shall be sent.

h) Offer Period: From the date of agreement to acquire shares until payment or withdrawal of the open offer.
i) Persons Acting in Concert (PAC): Individuals or entities collaborating for share acquisition.
j) Deemed PAC: Includes companies and their affiliates, directors, promoters, mutual funds, and others specified by regulation.
k) Target Company: A listed company whose shares are being acquired.
l) Volume Weighted Average Market Price: Product of traded shares and price divided by total shares traded.
m) Volume Weighted Average Price: Product of bought shares and price divided by total shares bought.

Types of Takeovers

a) Friendly Takeover: Voluntary sale of shares by promoters to the acquirer.
b) Hostile Takeover: Promoters resist the acquirer's attempts to gain control.
c) Horizontal Takeover: Between companies in the same industry.
d) Vertical Takeover: Acquiring suppliers or customers.
e) Conglomerate Takeover: Between companies in different industries.

Concept 10 - Open Offer Process & Compliance

Requirement of open offer process & compliance

a) Initial Trigger: When acquirer (with PAC) acquires 25% or more of voting rights in the target company, an open offer for 26% additional shares must be made.
b) Further Acquisition: After reaching 25%, if acquiring 5% or more within the financial year, an additional public offer is required for acquiring 26% or more shares.
c) Acquirers with 25% or more cannot acquire more than 5% shares in a financial year without an open offer. Post- acquisition holding of such acquirer together with its PAC must not exceed the maximum permissible non – public shareholding of 75% , thus maintaining the minimum public float of 25% in such Target company

Pre-Conditions for Voluntary Open Offer

a) Acquirer must hold at least 25% voting rights.
b) No acquisition in the past 52 weeks triggering an open offer obligation.
c) No share acquisition during the offer period, except through the open offer.
d) No further acquisition for 6 months post-offer unless through another voluntary offer.
e) Acquirer may set a minimum acceptance level.

Withdrawal of Offer

a) Permitted under conditions such as:

- Statutory approvals denied.
- Acquirer (natural person) dies.
- Conditions in acquisition agreement unmet.

- SEBI-approved reasons.

b) Withdrawal announcement must be made in newspapers and simultaneously informed to SEBI, stock exchanges, and the registered office of the target company.

Open Offer Process

a) Submission of Draft Letter of Offer: Submit to SEBI within 5 working days from the date of public announcement and simultaneously send a copy to the registered office of the target company and to all the relevant stock exchanges.
b) Dispatch of Offer Letter: Within 7 working days from the date of receipt SEBI comments or if no comments are provided, within 7 working days after expiry 15 working days from the date of receipt of draft letter of offer by SEBI.
c) Opening the Offer: The tendering period shall start within 12 working days from the receipt of SEBI's comments; the offer remains open for 10 working days.
d) Completion: Within 10 working days after the last tendering day.

Mode of Payment: Payment to shareholders can be made through:

a) Cash.
b) Exchange or transfer of listed shares of the acquirer or PAC.
c) Issue of listed, secured debt instruments rated investment grade.
d) Issue of convertible debt securities.

Escrow Account: An escrow account has to be opened at least 2 working days prior to detailed Public Statement with an object of payment and security against Performance of his obligations under Takeover Regulations

a) Forms of Escrow:

- Cash deposit with a Scheduled Commercial Bank.
- Bank Guarantee in favour of the offer manager.
- Deposit of freely traded equity shares or other securities with an appropriate margin.

b) The escrow account will not be released until 30 days after payment to shareholders or regulatory compliance completion.

Concept 11 - Obligations of the Target Company

a) Conduct business in the ordinary course during the offer period.
b) No corporate actions from 3 days before the tendering period until the tendering period ends.
c) Provide the acquirer with the shareholder list within 2 working days of the identified date.
d) No material asset sales without shareholder approval by postal ballot.
e) Independent Director's Recommendation: Must be published 2 working days before the tendering period in the same newspapers where the open offer was announced and sent to SEBI, stock exchanges, and the merchant banker.

Concept 12 - Obligations of the Acquirer

1) Ensure firm financial arrangements for fulfilling payment obligations under the open offer.
2) Ensure capability to implement the open offer, subject to any necessary statutory approvals.
3) Neither the acquirer nor PAC with him shall sell shares of the target company held by them during the offer period.
4) Acquire shall not alienate material assets.
5) The acquirer and PAC with him are jointly and severally responsible for fulfilling applicable obligations under the takeover code.

Exemptions to Open Offer : Certain acquisitions in the ordinary course of business, such as by underwriters, stockbrokers, or merchant bankers and also acquisitions via schemes such as disinvestment, merger, or demerger, court orders, or under specific laws like Securitization and Reconstruction of Financial Assets Act, 2002.